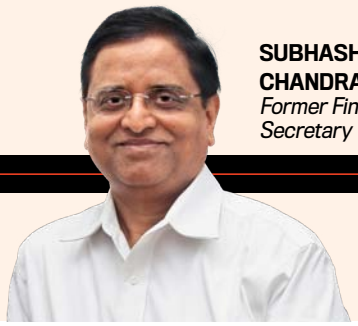


SUBHASH CHANDRA GARG
Former Finance Secretary



KEEPING A STEADY COURSE

Union Budget 2022-23 expands on the policies and intent of its predecessor while increasing capital expenditure, especially on infrastructure, to spur growth as well as jobs. The Board of India Today Experts delivers its verdict

Q 1. Will the proposals in the budget create the new jobs so badly needed today?

SUBHASH CHANDRA GARG: The budget seems to be jobs neutral. No new programmes were announced and all existing ones continue as is. There is no new infrastructure spending either.

N.R. BHANUMURTHY: One highlight of the budget is the continued focus on increasing government capital expenditure (capex). A sharp increase by 35 per cent in the capex and including the states in this revival strategy is certainly the way to go in the post-pandemic period. As these expenditures are expected to crowd in private investments, the overall impact on growth is going to be substantial and is expected to improve the potential growth in the medium term. If the economy realises these positive outcomes, we are sure to see more jobs created. Crucially, the capital expenditure proposals are largely on infrastructure and that has higher employment elasticity as well as larger multiplier impact on private sector employment. But it could take time, at least until the projects are grounded. There are a few other proposals that are a continuation of the Aatmanirbhar Bharat package introduced during the pandemic, which should help create jobs in the economy.

ADITI NAYAR: The Union Budget FY2023 has focused on the PM GatiShakti projects that would be driven by investments in core economic sectors, such as roads, railways, airports, ports, mass transport, waterways and logistics, which should support job creation.

An early implementation of the 24.5 per cent expansion in the budgetary allocation for capital spending to a substantial Rs 7.5 trillion can trigger a durable economic growth momentum, with the potential to create jobs. The interest-free special assistance of Rs 1 trillion to the states will help them prioritise capex even as they transition to the end of the GST compensation era. However, these loans would entail a shift in the execution risks from the Centre to the state governments. An early start to such spending will be imperative to maximise the growth impulse and job creation potential of this capex, and will be monitored closely as the year progresses.